

ADVANCED ACCOUNTING (110)

—Secondary—

NATIONAL – 2019

Multiple Choice and Short-Answer:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Matching (10 @ 2 points each) _____ (20 points)

Problems:

Problem 1: Promissory Notes _____ (24 points)

Problem 2: Classified Balance Sheet _____ (33 points)

Problem 3: Closing Entries _____ (36 points)

TOTAL POINTS _____ **(143 points)**

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into three parts. The multiple choice should be completed first; the matching and accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when completing this assessment:

- Round all calculations to two decimals.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. The objectivity concept tells us
 - a. we use the objectives of accounting.
 - b. we use the best evidence possible to value assets.
 - c. we match the revenues and expenses in the period they belong.
 - d. we use objectivity in purchasing merchandise on account.
2. This is a way that the board of directors can limit the amount of dividends:
 - a. declaration of dividends
 - b. restriction of retained earnings
 - c. stock dividends
 - d. deficiency of retained earnings
3. If a partnership of two has no partnership agreement, net income or loss will be divided:
 - a. half to each.
 - b. based on their original investments.
 - c. based on the time spent on the job.
 - d. based on withdrawals.
4. This is how a merchandising business differs from a service business:
 - a. a merchandising business is typically larger.
 - b. a merchandising business is divided into shares of stock.
 - c. a merchandising business will buy and sell its product.
 - d. a merchandising business will have double taxation.
5. The income statement of a merchandising business is called
 - a. a single-step income statement.
 - b. a sales income statement.
 - c. a merchandising income statement.
 - d. a multi-step income statement.
6. This system authorizes and records the company's liabilities and subsequent cash payment.
 - a. Cash Fund System
 - b. Compensating Balance System
 - c. Petty Cash System
 - d. Voucher System

7. Which of the following would record the daily cash sales with a shortage of \$5?
- | | | | |
|----|-----------------------|-----|-----|
| a. | Cash | 990 | |
| | Cash Short & Over | 5 | |
| | Sales | | 995 |
| b. | Cash | 995 | |
| | Cash Short & Over | | 5 |
| | Sales | | 990 |
| c. | Cash | 990 | |
| | Cash Shortage Expense | 5 | |
| | Sales | | 995 |
| d. | Cash | 995 | |
| | Sales | | 995 |
8. Gain contingencies are
- recorded when realized.
 - recorded when probable and measurable.
 - recorded when possible and measurable.
 - not recorded until it happens.
9. A Statement of Partnership Liquidation is prepared
- at the end of each fiscal year.
 - to summarize the change in each partner's capital during that period of time.
 - to summarize the cash distributed to each partner when closing the business.
 - to summarize the income distributed to each partner during that period of time.
10. Quick assets consist of
- total current assets.
 - total assets.
 - current assets less current liabilities.
 - current assets which can be quickly converted to cash.
11. Which method of analyzing an income statement shows the rate of increase or decrease?
- Contribution Margin Ratio
 - Break Even Analysis
 - Horizontal Analysis
 - Vertical Analysis
12. The entry when a corporation declares a dividend includes
- a debit to Retained Earnings.
 - a debit to Dividends.
 - a credit to Cash.
 - a credit to Capital Stock.
13. Internal rate of return is a
- method to value the purchasing power of money.
 - concept of the time value of money.
 - method of analyzing capital investments.
 - none of the above.

14. The company's consigned inventory would
- a. be recorded as sold when shipped to consignee.
 - b. not be included in the ending inventory until sold.
 - c. be recorded in the ending inventory until sold.
 - d. not be recorded.
15. What is it called when a corporation buys its own stock?
- a. Buy-back stock
 - b. Corporate stock
 - c. Stock split stock
 - d. Treasury stock

Matching (20 points) Match the letter of the correct term with the statement below. *(Not all terms will be used.)*

- | | | | |
|----|---------------------------|----|-------------------------------|
| A. | Accounts Payable | K. | Last In First Out (LIFO) |
| B. | Accounts Receivable | L. | Lost Costs |
| C. | Aging of Receivables | M. | Lower of Cost or Market (LCM) |
| D. | Book Value | N. | Maturity Value |
| E. | Cash Basis | O. | Opportunity Cost |
| F. | Closing Entries | P. | Principal |
| G. | Defined Benefit | Q. | Post-Closing Trial Balance |
| H. | Defined Contribution | R. | Salvage Value |
| I. | First In First Out (FIFO) | S. | Weighted Average |
| J. | Fund or Nonprofit | | |

- _____ 1. This is the amount of income lost due to using cash in another venture.
- _____ 2. This type of retirement plan states the amount an employee will receive upon retirement.
- _____ 3. This analyzes accounts receivable and classifies them into how many days past due they are.
- _____ 4. This is the difference between the cost and accumulated depreciation of an asset.
- _____ 5. The subsidiary ledger in which we keep track of what is owed and paid to creditors.
- _____ 6. This is the method of valuing inventory at its current replacement cost.
- _____ 7. This is the method of accounting that records accounting information for a government agency.
- _____ 8. To realize the lowest net income in a period of rising prices, this method would be for costing inventory.
- _____ 9. The amount to pay at the end of a promissory note.
- _____ 10. This is the last step in the accounting cycle.

	Due Date	Interest	Maturity Value
1. \$50,000 8% 90 days dated May 15, 2019			
2. \$8,000 6% 60 days dated June 30, 2019			
3. \$90,000 5 ½% 120 days dated Sept. 9, 2019			
4. \$11,200 8% 90 days dated Sept. 15, 2019			
5. \$190,000 6% 60 days dated Nov. 28, 2019			

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Problem 2 (33 Points) - Prepare a Classified Balance Sheet using the Adjusted Trial Balance for Sorenson Corporation. Net income for the year was \$ 94,420. The form is located on the next page.

Sorenson Corporation
Adjusted Trial Balance
For the year ended September 30, 2019

	Debit	Credit
Cash	\$150,700	
Accounts Receivable	213,000	
Inventory	34,100	
Prepaid Insurance	13,200	
Land	1,450,000	
Building	850,000	
Accumulated Depreciation – Building		160,000
Vehicles	180,000	
Accumulated Depreciation – Vehicles		108,000
Equipment	1,800,000	
Accumulated Depreciation – Equipment		265,000
Accounts Payable		50,010
Salaries and Wages Payable		76,156
Unearned Rent		30,000
Current portion of Long-Term Debt		61,834
Mortgage Note Payable		800,000
Common Stock \$10 par (10,000 authorized, 9,000 issued)		90,000
Paid in Capital from sale of Common Stock		1,200,000
Retained Earnings		1,845,580
Cash Dividends	90,000	
Sales (net)		<u>1,155,000</u>
Purchases (net)	580,000	
Salary and Wages Expense	320,000	
Utilities Expense	67,000	
Depreciation Expense – Building	10,000	
Depreciation Expense – Vehicles	5,000	
Depreciation Expense – Equipment	3,900	
Repairs Expense	3,100	
Insurance Expense	2,800	
Supplies Expense	1,500	
Tax Expense	67,080	
Miscellaneous Expense	200	
Totals	<u>\$ 5,841,580</u>	<u>\$ 5,841,580</u>

[illegible]

Problem 3 (36 Points) - Prepare the Closing Entries using the same Adjusted Trial Balance for Sorenson Corporation. The journal is located on the next page.

Sorenson Corporation
Adjusted Trial Balance
For the year ended September 30, 2019

	Debit	Credit
Cash	\$150,700	
Accounts Receivable	213,000	
Inventory	34,100	
Prepaid Insurance	13,200	
Land	1,450,000	
Building	850,000	
Accumulated Depreciation – Building		160,000
Vehicles	180,000	
Accumulated Depreciation – Vehicles		108,000
Equipment	1,800,000	
Accumulated Depreciation – Equipment		265,000
Accounts Payable		50,010
Salaries and Wages Payable		76,156
Unearned Rent		30,000
Current portion of Long-Term Debt		61,834
Mortgage Note Payable		800,000
Common Stock \$10 par (10,000 authorized, 9,000 issued)		90,000
Paid in Capital from sale of Common Stock		1,200,000
Retained Earnings		1,845,580
Cash Dividends	90,000	
Sales (net)		<u>1,155,000</u>
Purchases (net)	580,000	
Salary and Wages Expense	320,000	
Utilities Expense	67,000	
Depreciation Expense – Building	10,000	
Depreciation Expense – Vehicles	5,000	
Depreciation Expense – Equipment	3,900	
Repairs Expense	3,100	
Insurance Expense	2,800	
Supplies Expense	1,500	
Tax Expense	67,080	
Miscellaneous Expense	<u>200</u>	
Totals	<u>\$ 5,841,580</u>	<u>\$ 5,841,580</u>

General Journal

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